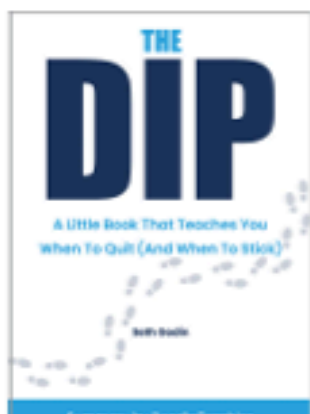




THE DIP

A Little Book That Teaches You
When To Quit (And When To Stick)

SETH GODIN



The Big “So What”

It's a myth that winners never quit. In reality, **winners and high-achievers attain outstanding results precisely because they know when to quit and when to persevere.** This book provides simple but powerful tips to help you know when to stick and when to let go.



Introduction

People often don't quit when they should. They may hang on to a dead-end job or a sunset business out of habit or pride, or they may cling on to status quo out of comfort. In the process, they incur opportunity costs, since their time, energy and resources could have been redirected to more productive alternatives.

On the other hand, people also quit when they shouldn't. They may quit in the midst of pain and setbacks, when they could have achieved success if they pushed just a little longer and harder.

In this summary, we'll explain why it's so hard to quit the wrong things and stick to the right things, and how you can learn to quit strategically.



Being the Best in the World

To enjoy extraordinary rewards, you must become the best in the world.



In any sector or industry, people and organizations at the top get a disproportionate amount of rewards and recognition.

- If you plot the amount of rewards against ranking on a graph, you'd get an exponential curve, not a straight line. For example, the top ice-cream flavor (vanilla) sells many times more than the other 9 top flavors. A top musician, actor or coach earns hundreds or thousands of times more than an average one.

KEY QUOTES

"Believe it or not, quitting is often a great strategy, a smart way to manage your life and your career."

"Winners quit all the time. They just quit the right stuff at the right time."

"Extraordinary benefits accrue to the tiny minority of people who are able to push just a tiny bit longer than most. Extraordinary benefits also accrue to the tiny majority with the guts to quit early and refocus their efforts on something new."

Relationship between Rewards and Ranking



- Jack Welch took General Electric to success with this principle: GE would only be in an industry if it could be #1 or #2.



Why is there a premium for the best?

- People are naturally risk-averse. Given limited time and resources, we tend to go for what's "best" to minimize our perceived risks. For example, if you can afford it, you will seek the best medical treatment from the top surgeon, or get the best advice from the #1 expert. When you're on holiday, you'd search for the top restaurants and attractions. When you hire people, you'd interview the best available candidates.
- More importantly, what's scarce is valuable. Since there can only be a few people at the top, it makes you extremely valuable if you're considered to be the best or one of the best.



Start by defining and developing your unique niche.

- The concepts of "best" and "world" are actually subjective. What's "best" is merely a perception in people's mind; the definition can vary with the target audience and with time. Someone's "world" is what's accessible to him/her. The size, nature and boundaries of this world also varies with each person. For example, the best fried chicken in your world could be what's recommended by your friends, colleagues or online community, based on their subjective idea of what the best fried chicken should be like.
- Generally, categories are getting more specific. You're less likely to look for the "best doctor in the world" than the "best orthopaedic" or the "best heart surgeon" in your country or city. Likewise, even if you can't offer the best food globally, you can certainly operate the best steakhouse in your town.

KEY QUOTES

"Strategic quitting is the secret of successful organizations."

"With limited time or opportunity to experiment, we intentionally narrow our choices to those at the top."

"Winners win big because the marketplace loves a winner."



Quit the non-essentials. It's impossible (and unnecessary) to be the best in everything. Every individual and organization has finite time and resources. To be the best in something, you must give up the non-essentials.

- Unfortunately, many people and organizations don't aim to be the best. They settle for being "good enough"—they hire people who're good enough, they deliver good enough results and they learn just enough to get their work done.
- Another common trap is to try to be well-rounded—if you try to do a bit of everything, you'll end up excelling in nothing.
- Strategic quitting is about (i) being proactive and perseverant in the areas you want to focus on and can be the best at, and (ii) giving up everything else. It's not about quitting reactively because of bad decisions or difficulties.

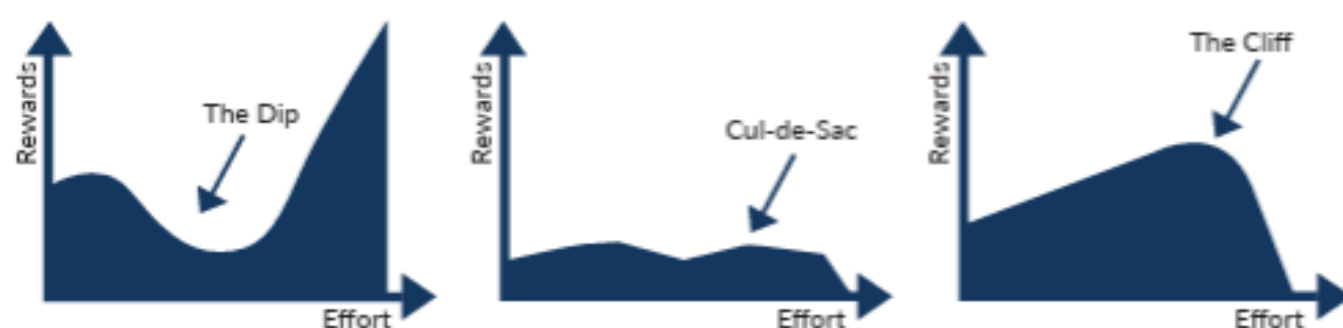


Strategic Quitting

Understanding the 3 Curves



The first step to strategic quitting is to understand and recognize the situations that cause people to quit. **Generally, most life experiences can be represented by these 3 types of curves.**



The Dip. Almost everything in life follows this curve. When you start doing something, it usually seems fun and interesting. Then, you start to experience challenges, and it becomes increasingly hard to get the desired results. This is "the Dip".

- For example, when you first start a business, you tend to feel excited and optimistic. Then, reality sinks in and you find yourself struggling to find customers and pay your bills. Your energy dips and the future no longer looks so rosy.

KEY QUOTES

"You really can't try to do everything, especially if you intend to be the best in the world."

- Or, you may find it interesting initially to learn a new hobby. However, you'll soon find your progress stagnating and the only way to push to a new level is to start putting in regular, disciplined practice.
- On the surface, the Dip seems to be an obstacle to your desired outcome. In reality, if you manage it well, it can be an opportunity or a shortcut to success and mastery.

 The Cul-de-Sac is essentially a dead-end. No matter what you do, nothing moves and there's simply no progress.

 The Cliff is a situation where it's hard to quit until you find yourself at the edge of disaster and things are about to fall apart. For example, people usually find it hard to quit smoking or gambling until they hit a major health or financial crisis.

When to Quit vs When to Stick



In a nutshell, quit when (i) you're facing a Cul-de-sac or a Cliff, or (ii) if you're not going to become #1 on this path. Never quit in the Dip due to short-term pain—this is actually your opportunity to win big.

 When you're facing a Cul-de-sac or a Cliff, quit immediately. Do not procrastinate. The Cul-de-sac may seem safe/boring while the Cliff may seem exciting. However, if you stick to either curve, you'll eventually fail. The only exception is if you can change a Cul-de-sac into a Dip.

 When you're in the Dip, never quit. Instead, invest your time, energy and effort to conquer the challenges to get to the next level.

- The challenges in the Dip are actually opportunities. The harder and more uncertain something is, the more people will drop out. This makes the remaining players more scarce and valuable.
- Lean in to the challenges, push harder, learn as fast as you can and consider how you can change the rules to win the game. When you deliberately work through the challenges, you'll move out of the dip much more quickly to achieve success.

KEY QUOTES

"Stick with the Dips that are likely to pan out, and quit the Cul-de-Sacs to focus your resources."

"The Dip creates scarcity; scarcity creates value."

"Dips don't last quite as long when you whittle at them."

- Do not quit and take the easy way out by moving on to something else. If you keep switching paths each time you face difficulties, you will never achieve excellence. Top marketers, consultants and professionals earn a huge premium because they've spent years honing their skills and accumulating experience that help them stand out in a crowded marketplace. A woodpecker that pecks a few times on every tree will soon starve to death, whereas a woodpecker that keeps pecking on 1 tree will eventually get to its prize.
- On the other hand, don't simply go with the flow or buckle down and hope to survive. Unless you make a conscious effort to attain mastery, you will simply stagnate and stay mediocre.



Remember this rule of thumb: Only start something if you can be #1 in that area.

- Why people fail. People don't make it through the Dip because they (i) run out of time, money, courage, or passion, (ii) focus on short-term pain/results instead of long-term goals, and/or (iii) focus on the wrong areas where they can't be the best at.
- Anything worthwhile will involve a dip. Before you enter a new market, take on a project or job, step back to consider (i) what it'd be like if you can be #1 or a superstar in that area, (ii) what challenges you'd have to overcome to get there and (iii) if you're able/willing to do what it takes. Be selective of what you embark on in the first place.
- Unfortunately, many people/organizations do things without prior deliberation. As a result, they end up choosing the wrong areas (where they can't be #1) or giving up prematurely. Either ways, they end up wasting time and resources.



Here are several common situations where people get stuck in the Dip or quit:

- Manufacturing. It can be fun to build something at home or in your backyard. However, it's much harder to scale up your production: you'll have to invest in materials, equipment and figure out how to deliver efficiently with consistent quality.
- Sales & distribution. You may enjoy some initial success by selling personally. However, to compete effectively, you may

KEY QUOTES

"In a competitive world, adversity is your ally. The harder it gets, the better chance you have of insulating yourself from the competition."

"It's easier to be mediocre than it is to confront reality and quit."

"It's human nature to quit when it hurts. But it's that reflex that creates scarcity."

"If you're going to quit, quit before you start.... Don't play the game if you realize you can't be the best in the world."

eventually need to develop a professional salesforce, invest in sales tools/systems, and/or develop new distribution channels (e.g. getting onto the prime shelves of major retail chains).

- Education. At some point in your career, you'll have to learn something new and/or rebuild your skills to move to the next level.
- If you're growing a business, at some point you'll need to take the risk to invest in systems, processes and offices to scale up.
- Relationships take time to build and you can only see returns much later. If you focus only on immediate returns, you'll neglect the long-term relationships needed for future successes.
- At various points in your life, you need to let go of old beliefs and assumptions and adopt new perspectives to move forward. You may also have to give up your ego, pride or sense of control.



When we see others getting a big break, it may seem effortless because we only see their end results. We don't see the struggles and multiple Dips that they've overcome.

- A study found that the average salesperson gives up after the 5th contact with a prospect, when 80% of customers only buy on the 7th attempt. The salespeople who stick it out are the ones who close the sale.
- Mass-market demand is nurtured through years of market development and product-refinement. When a new product is launched, only a small percentage of early adopters will be willing to try it. The majority of customers will wait till the product is extensively tested, more standardized with much cheaper options. Even an established company like Microsoft needs multiple iterations to develop a successful solution—it failed 2x, 3x and 4x respectively with Windows, Excel and Word.



Once you understand the Dip, you can leverage it not just for your own success but also to build a competitive advantage.

- Established businesses often try to create Dips that are hard for competitors to overcome. For example, Apple's proprietary platform, network of partners, systems and relationships make

KEY QUOTES

"The businesses we think of as overnight successes weren't. We just didn't notice them until they were well baked."

it difficult for contenders to establish a foothold. Professionals (e.g. doctors, lawyers) also create barriers to entry through onerous professional certifications and other requirements.

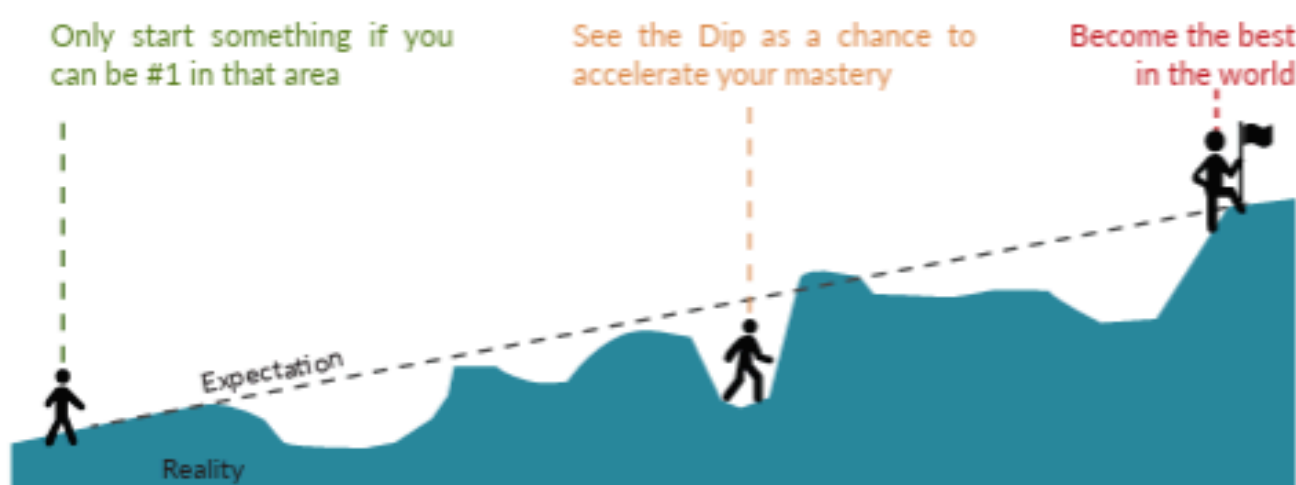
- Businesses can also use the Dip to make more money. For instance, health clubs know that they can sell more memberships than their actual capacity, since people tend to quit before they've consumed their health packages.

Putting it Together



 So long as you've chosen your niche/path well (i.e. it's one where you can be the best in the world at), stick to it. Don't quit.

- After each setback, recommit your efforts and resources to find alternative routes to reach your end-goals. It's ok to quit specific tactics so long as you don't quit your main strategy. Know that the Dip is not static and you can change your circumstances with proactive action.
- Don't focus on the short-term pain. Focus on your long-term vision beyond the Dip and and it pull you along. The good news is, with every dip you get past, you'll become better and more valuable.



- However, you should quit if (i) you're not going to become #1 on this path, or (ii) you're facing a Cul-de-sac or Cliff.
 - Remember: quitting ≠ failing. It's wise to quit something that's not aligned with your long-term strategy or vision. It's unwise to quit because of short-term pain or stress.
 - Don't cling on to an existing path out of pride or familiarity. Either quit or push to be the best. Don't settle for being average.

KEY QUOTES

"The opposite of quitting is rededication. The opposite of quitting is an invigorated new strategy designed to break the problem apart."

"Quitting the projects that don't go anywhere is essential if you want to stick out the right ones."

"Never quit something with great long-term potential just because you can't deal with the stress of the moment."

"Coping is a lousy alternative to quitting."

"Quit or be exceptional. Average is for losers."



Apply strategic quitting: quit and persevere for the right reasons.

- Select your Dip. Assess how much time, energy, and resources you have, so you can select a dip of the right size to conquer. Remember: your goal is to focus on an area where you can be #1 in. There's no point in going into a huge market if you don't even have the resources to make yourself heard. Instead, aim for the biggest dip your resources can permit.
- Before you get started, write down the strategic criteria or circumstances under which you're willing to quit, e.g. if your assumptions prove to be wrong and you clearly can't be #1 in that area.
- Stick with your pre-planned criteria. Never make decisions based on your feelings or impulses. Before you quit, ask yourself 3 questions:
 - (i) *"Am I panicking?"* Panic is never pre-planned, and is a sign that you're probably making in-the-moment decisions for the wrong reasons. In fact, something that scares you could very well be something you *should* try.
 - (ii) *"Who am I trying to influence?"* A decision to quit usually involves a failure to influence someone, e.g. your boss (to get a promotion), or your customers (to sell your product). Consider who decides what's "best" in your context. If your success hinges on 1 person and you've already tried (and failed) to change his/her mind several times, then things are unlikely to change. However, if you're trying to influence an entire market, then it pays to be patient; each step you take can create a ripple effect and that makes things easier.
 - (iii) *"What measurable progress am I making?"* In any situation, there are only 3 options: move head, fall backward, or stay still. To move beyond the Dip, you must at least make some progress. Identify meaningful measures and track your progress, e.g. to reach the breakeven point in your business, you must have new sales or customers. Each time you stagnate or reach a dead-end, explore if there are better ways to redirect your energy and resources to achieve your strategic goals.

KEY QUOTES

"If you are making a decision based on how you feel at that moment, you will probably make the wrong decision."

"Influencing one person is like scaling a wall. If you get over the wall the first few tries, you're in. Influencing a market...is more of a hill... every step of progress you make actually gets amplified."



Conclusion

This is a short book, and Godin uses a conversational style to repeatedly reinforce the key ideas in this summary. For more details please visit www.sethgodin.com.

About the Author

Seth W. Godin (born 1960) is an American author and entrepreneur. Godin previously founded and sold a book packaging business. He then launched Yoyodyne to promote permission marketing. In 1998, Yoyodyne was sold to Yahoo! for about \$30 million and became Godin Yahoo's vice president of direct marketing. In March 2006, Godin launched Squidoo which was sold to HubPages in 2014. Godin has authored 18 books.



KEY QUOTES